

HEALTHCARE: **Biotech**

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Stock Rating **BUY**
Unchanged

Price Target **\$542.00**
↑
from \$525.00

TR to Target	24.3%
Price (May 26, 2026)	\$435.93
52-Wk Range	\$499.17-\$366.54
Market Cap (\$M)	\$111,600
ADTV	893,399
Shares Out (M)	256
Short Interest Ratio/% Of Float	1.6%
Enterprise Value (\$M)	\$98,604
Cash & Equivalents (\$M)	\$12,997
Total Debt (\$M)	\$0

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Reasons for this report

- ✓ Assuming Coverage
- ✓ Updating Estimates and PT
- ✓ Model Update

Vertex Pharmaceuticals Incorporated (VRTX)

VRTX - Entering the Kidney Era of Blockbuster Launches & Multi-\$Bn Mrkt Buildouts; Assuming Coverage w/BUY, \$542 PT

We are assuming coverage of VRTX at the firm's prior Buy rating and modestly adjust our price target to \$542 (vs firm's prior target of \$525).

Our bullish outlook on VRTX is driven by our expectations for the emerging kidney franchise [povetacicept (IgAN) and inaxaplin (AMKD)] to grow into blockbuster assets and further diversify the company's product portfolio.

Today, CF remains the key source of revenues for VRTX, and shares continue to see pressure whenever potential competitive data are looming, given the potential magnitude of disruption another market entrant could create for VRTX's top-line. We believe the latest overhang on the stock stems from approaching Sionna (SION, NR) Phase 2 proof-of-concept (PoC) data, which are due by mid-26. Given the early stage of development, we believe the readout will likely be a clearing event for the stock. From there, we see the approval/ launch of povetacicept for IgAN (expected by Fall 2026), followed by Phase 3 data for inaxaplin in AMKD (by YE26/ early 27), as important near-term upside drivers for VRTX.

Key Model Updates from Firm's Last Published Model

Estimate Revisions:

- We maintain a DCF to 2035 (8% discount rate; 2% terminal growth rate)
- We model total 2035 revenues of \$23.6B vs firm's prior estimates of \$24.2B
 - Cystic Fibrosis (CF): We model 2035 sales of ~\$15.4B, slightly above the firm's prior estimate of \$15B
 - Journavx (pain): We model 2035 sales of ~\$1.7B vs firm's prior estimate of \$2.9B
 - Povetacicept (IgAN): We model 2035 revenue of ~\$4.1B vs firm's prior PoS-adj (85%) estimate of \$2.1B. We also note expansion of pove for pMN and other indications beyond IgAN currently represents potential upside to our estimates.
 - Inaxaplin (AMKD): We model 2035 sales of ~\$1.4B (70% PoS-Adj) vs firm's prior PoS-Adj (50%) estimate of \$1.9B
 - VX-880 (T1D): Represents potential upside to our model vs firm's prior PoS-Adj (50%) estimate of ~\$750M

Multi-billion Dollar IgAN Market Appears to Be Materializing; Povetacicept's Entry Expected by Late 2026

APRIL/BAFF Market Outlook. With disease-modifying properties and the promise of prolonging kidney function, the APRIL/BAFF class holds significant potential for the treatment of IgAN. Given the sizable TAM and hefty price tags, the IgAN market could reach >\$10-\$20B. While some have questioned whether the ~\$390K/year price point would prohibit adoption, thus far competitor Otsuka's (OTSKF, NR) launch of Voyxact (anti-APRIL mAb) appears to be off to a strong start, based on initial company provided metrics. Voyxact achieved ~\$29.1M in IgAN revenues in its first full quarter of launch following its accelerated approval in Nov 2025. Additionally, Otsuka reported 880 new patient start forms were received in 1Q26 (up from 180 in partial 4Q25), for a total of 1,060. We believe these early metrics signal strong demand in the IgAN market for the emerging disease-modifying therapies.

Povetacicept regulatory & commercial outlook. VRTX submitted its filing for accelerated approval in IgAN on 3/31/26 using a PRV, and we anticipate BLA acceptance by ~May 29, 2026, followed by a priority review and a likely PDUFA date by late Sept. 2026. We see little risk to approval.

From a commercial perspective, pove appears well positioned, supported by its convenient once-monthly injectable dosing and the potential for deeper efficacy and disease modification versus competitors, driven by its dual APRIL/BAFF mechanism of action. While incremental efficacy benefits have yet to be definitively demonstrated, nephrologists appear receptive to the theoretical advantages of dual pathway inhibition.

That said, the dual-mechanism approach introduces incremental safety considerations (particularly around hypogammaglobulinemia and associated infection risk), which we view as the primary potential barrier to broad adoption relative to anti-APRIL monotherapies. Vertex has indicated no observed signals of infection related to hypogammaglobulinemia to date. Assuming a comparable safety profile is maintained, coupled with the potential for improved durability and greater long-term efficacy, we believe pove could emerge as a highly competitive option in the IgAN treatment landscape.

Inaxaplin represents an underappreciated potential blockbuster asset for AMKD

Inaxaplin (APOL1 inhibitor) development status. Vertex plans to share Phase 2 PoC data of inaxaplin in AMKD with less severe proteinuria and/ or comorbid diabetes in 2H26, followed by topline Phase 3 data in primary AMKD ~YE26/ early 2027. We anticipate an accelerated approval/ launch in primary AMKD by early 2028.

AMKD market outlook. The primary AMKD population represents a TAM of ~150K across US/ EU and is a population with significant unmet needs as no treatment options are available. In our view, the APOL1 inhibition MoA has been validated in this subset of patients by both VRTX and competitor Maze (MAZE, Buy). While this portion of the population reflects only ~50% of the broader TAM, we believe it could still represent a ~\$5B+ market. Given inaxaplin's late stage of development, validating PoC data, the sizable TAM, and limited competition, we think the AMKD opportunity is particularly attractive for VRTX, as they have full control of building out the market.

Additionally, the applicability of APOL1 inhibition in the broader comorbid AMKD population (reflects another ~150K patients in US/EU) remains to be seen. We note, MAZE reported a small dataset across the variety of AMKD subgroups, notably showing mixed and difficult to interpret data in comorbid diabetic AMKD. Vertex's ongoing small PoC study in this setting should help to answer the question. While positive data in this demographic would essentially double the TAM, it is not critical for inaxaplin's commercial success in our view and represents potential upside to our model.

Quick hits on current commercial franchise

VRTX's CF commercial moat remains effectively impenetrable, though the TAM is now largely saturated. We expect modest single-digit y/y growth from the CF franchise to persist over the next few years, as VRTX works to capture the remaining ~30-33K eligible global CF patients who are not currently treated. While CF continues to generate substantial cash flows for the company (FY26 CF sales guidance of ~\$12.45B to \$12.6B), materially raising the floor value of the stock, growth has plateaued, and we do not view the franchise as a meaningful incremental value driver from here.

On the competitive front, Sionna (SION, NR) expects to report Phase 2 PoC data by mid-2026. While we are not anticipating efficacy signals that would pose a material threat to VRTX's franchise, particularly given the competitor's significant developmental lag, we do believe the risk of potential competition emerging has been weighing on the stock.

Journavx volumes are gaining traction, but we still struggle to see this pain asset moving the needle in a meaningful way. While early prescribing trends are encouraging, we view gross-to-net dynamics and confinement to acute pain as key constraints on durable revenue growth. Following the setback in lumbosacral radiculopathy (LSR), development focus has shifted to diabetic peripheral neuropathy (DPN), with two Phase 3 trials on track to complete enrollment by YE26. Given the lack of meaningful separation versus pregabalin in Phase 2, we expect a similar outcome in Phase 3. While Journavx may ultimately prove to be approvable in DPN, we question whether modest tolerability advantages versus low-cost generic pregabalin will be sufficient to drive meaningful physician uptake or payer support. Overall, success in chronic pain represents potential upside to our model, and Journavx is not central to our bull thesis.

Casgevy bottlenecks are improving, but the product remains unlikely to be a meaningful profit driver for VRTX. While we are encouraged by the progress made since Casgevy launched, we continue to view the program as structurally unprofitable. This is not unexpected given the extensive bottlenecks around cell collection and manufacturing, the toxicity profile of the conditioning regimen that constrains the addressable patient population, and the 60/40 profit-split with CRISPR (CRSP, NR). As a result, we do not expect Casgevy to make a material contribution to VRTX's top- or bottom-line over the foreseeable future.

FY26 Financial Outlook

We believe VRTX is well positioned to deliver sales at the upper end (or ahead) of its current FY26 revenue guidance driven by several key factors.

First, continued momentum in CF should be supported by the ongoing Alyftrek launch and sustained ex-U.S. growth. Management commentary in February 2026 indicated that over 77,000 patients are now on therapy (+2,000 vs. YE25), with an incremental ~800 U.S. patients newly eligible as of April.

Second, early prescription trends and recently secured favorable payer dynamics for Journavx provide incremental support, despite our tempered long-term expectations for the asset.

Third, VRTX has clear visibility into the pipeline of patients progressing to Casgevy, and we estimate additional upside potential from label expansion into the 5–11 age group (sBLA submitted prior to the 1Q26 earnings call; granted CNPV).

Looking beyond the core drivers, we view the anticipated launch of povetacicept around September 2026 as a potential source of incremental upside to FY26 revenue and a more meaningful contributor to growth beginning in FY27.

VRTX Model
Exhibit 1 - VRTX Guidance

FY2026 Guidance	May-26
	New
Total Revenue	\$ 12,950 - \$ 13,100M
Non-CF Revenue	\$500M or greater
GAAP R&D, IPR&D, and SG&A	\$ 6,300 - \$ 6,450M
Non-GAAP R&D, IPR&D, and SG&A	\$ 5,650 - \$ 5,750M
Stock Based Comp	\$ 650 - \$ 700M
IPRD	\$ 95 - \$ 105M
Non-GAAP Effective Tax Rate	19.5% - 20.5%

Source: Company Reports

Exhibit 2 - 2Q26 Estimates vs Consensus

2Q26 Revenue (\$MM)	Truist Securities Est.	Consensus Est.	% vs Consensus
Product Revenue	3,276.5	3,262.6	0.4%
Trikafta / Kaftrio	2,512.8	2,500.3	0.5%
Alyftrek	520.0	515.7	0.8%
Other Product Revenues	243.6	246.6	-1.2%
Other CF	135.6	138.2	-1.9%
Journavx	45.0	48.6	-7.5%
Casgevy	63.1	59.7	5.6%

Source: Company Reports; Truist Securities Estimates; Visible Alpha Consensus as of 05/26/26

Exhibit 3 - VRTX FY26 Estimates vs Consensus

2026 Revenue (\$MM)	Truist Securities Est.	Consensus Est.	% vs Consensus
Product Revenue	13,106.6	13,228.2	-0.9%
Trikafta / Kaftrio	9,883.8	9,988.0	-1.0%
Alyftrek	2,194.3	2,242.7	-2.2%
Other Product Revenues	1,021.6	997.5	2.4%
Other CF	522.0	507.5	2.8%
Journavx	200.5	240.1	-16.5%
Casgevy	299.1	249.8	19.7%

Source: Company Reports; Truist Securities Estimates; Visible Alpha Consensus as of 05/26/26

Exhibit 4 - VRTX Income Statement

Income Statement \$ (MM)	2021A	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Product Revenue	7,573.4	8,930.7	9,869.2	11,020.1	2,760.2	2,844.0	3,076.4	3,190.0	11,970.6	2,866.9	3,276.5	3,388.5	3,454.7	13,106.6	3,264.5	3,521.6	3,648.4	3,797.6	14,232.2	15,638.9	17,084.7	18,625.9	19,836.3	21,041.0	22,048.2	22,918.7	23,609.9
Takvira/Kalro	5,698.0	7,688.0	8,844.7	10,238.6	2,535.5	2,551.1	2,653.6	2,572.5	10,312.7	2,354.7	2,512.8	2,520.9	2,495.3	9,883.8	2,237.0	2,336.9	2,319.2	2,320.7	9,213.8	8,568.8	7,883.3	7,282.7	6,890.0	6,545.5	6,218.2	5,907.3	5,730.1
Alyria	0.0	0.0	0.0	0.0	53.9	156.8	247.0	380.1	837.8	424.4	520.0	597.2	652.6	2,194.3	700.3	832.0	925.7	1,011.6	3,469.6	4,709.8	5,926.7	6,997.0	7,896.7	8,312.4	8,811.2	9,251.7	9,529.3
Other Product Revenues	1,875.4	1,242.7	924.5	781.5	170.8	236.1	175.8	237.4	620.1	287.8	243.6	270.4	299.8	1,021.8	305.7	317.3	346.7	378.3	1,548.0	1,719.0	2,053.7	2,228.6	2,375.5	2,502.9	2,610.7	2,892.4	2,786.1
Other CF	1,875.4	1,242.7	924.5	771.5	155.3	193.7	139.3	136.1	644.7	135.9	135.6	126.4	125.1	522.5	111.4	111.2	102.8	102.4	428.0	353.0	287.3	238.0	193.0	164.3	139.6	125.1	110.3
Journal	0.0	0.0	0.0	0.0	1.3	12.0	19.6	26.7	59.6	29.0	45.0	56.2	70.3	200.5	84.4	103.5	124.7	144.8	457.4	737.5	1,008.3	1,159.6	1,296.7	1,438.8	1,542.9	1,620.0	1,701.1
Cagney	0.0	0.0	0.0	10.0	14.2	30.4	16.9	54.3	115.8	42.9	63.1	88.8	104.4	299.1	109.9	102.5	119.2	130.9	462.5	630.5	757.3	833.2	883.3	909.9	928.0	940.3	965.9
PowderMill (PM)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Insight (IMC)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Collaboration Revenue	0.0	0.0	0.0	0.0	18.0	28.7	0.0	0.0	26.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other Revenue	1.8	0.0	0.0	0.0	18.0	28.7	0.0	0.0	26.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Revenue	7,574.4	8,930.7	9,869.2	11,020.1	2,779.2	2,864.7	3,076.4	3,190.0	12,001.3	2,986.9	3,276.5	3,388.5	3,454.7	13,106.6	3,264.5	3,521.6	3,648.4	3,797.6	14,232.2	15,638.9	17,084.7	18,625.9	19,836.3	21,041.0	22,048.2	22,918.7	23,609.9
COGS	904.2	1,080.3	1,262.2	1,530.5	363.0	407.5	414.8	466.0	1,651.3	392.8	430.9	445.6	454.3	1,723.8	429.3	463.1	482.2	502.0	1,876.8	2,091.0	2,321.4	2,559.6	2,743.8	2,917.7	3,062.2	3,188.8	3,291.7
% of Revenue	12%	12%	13%	14%	13%	14%	13%	15%	14%	13%	13%	13%	13%	13%	13%	13%	13%	13%	13%	13%	14%	14%	14%	14%	14%	14%	14%
R&D	3,051.1	2,542.3	3,162.9	3,630.3	979.7	978.4	977.7	973.7	3,909.5	961.6	1,048.5	1,050.4	1,070.9	4,131.5	1,012.0	1,091.7	1,131.0	1,177.2	4,412.0	4,691.7	5,040.0	5,401.5	5,752.5	6,101.9	6,173.5	6,188.1	6,138.6
Acquired in-process R&D	-	113.5	527.1	4,628.4	19.8	2.2	54.5	56.5	133.0	0.5	5.0	45.0	49.5	100.0	-	-	-	-	-	-	-	-	-	-	-	-	-
SG&A	840.1	944.7	1,136.6	1,464.3	396.4	424.6	445.1	487.0	1,753.1	493.7	524.2	576.0	621.8	2,215.8	587.6	633.9	656.7	683.6	2,561.8	2,815.0	3,075.3	3,352.7	3,570.5	3,787.4	3,968.7	4,125.4	4,249.8
Change in fair value of contingent consideration	-	-	-	-	2.2	0.9	(1.9)	0.9	2.1	0.2	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(3.1)	56.9	(57.5)	(51.6)	(0.5)	379.0	-	-	-	379.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Operating Expense	4,792.4	4,623.3	6,037.2	11,263.0	2,349.1	1,813.6	1,890.2	1,984.1	7,828.0	1,848.8	2,008.6	2,117.1	2,196.6	8,371.1	2,028.9	2,188.7	2,269.9	2,362.8	8,850.4	9,587.6	10,436.6	11,313.8	12,066.9	12,807.0	13,204.4	13,502.2	13,880.1
Total Revenue	7,574.4	8,930.7	9,869.2	11,020.1	2,779.2	2,864.7	3,076.4	3,190.0	12,001.3	2,986.9	3,276.5	3,388.5	3,454.7	13,106.6	3,264.5	3,521.6	3,648.4	3,797.6	14,232.2	15,638.9	17,084.7	18,625.9	19,836.3	21,041.0	22,048.2	22,918.7	23,609.9
Operating Income (non-GAAP)	4,344.9	4,888.3	4,901.7	5,324.0	1,202.8	1,327.3	1,439.3	1,426.7	5,398.1	1,310.8	1,458.7	1,502.5	1,488.8	5,770.8	1,425.3	1,537.6	1,590.6	1,655.5	6,208.9	6,962.8	7,646.8	8,391.9	8,919.8	9,454.3	10,099.9	10,698.7	11,226.5
Operating margin (non-GAAP)	57%	55%	50%	48%	43%	45%	47%	45%	45%	44%	45%	44%	43%	44%	44%	44%	44%	44%	43%	45%	45%	45%	45%	45%	46%	47%	48%
Interest Income	4.9	144.6	614.7	598.1	120.9	122.4	125.7	121.9	490.9	114.8	140.1	148.0	157.9	561.7	177.4	191.5	200.3	209.3	778.5	882.0	1,133.2	1,410.6	1,718.2	2,053.0	2,416.0	2,811.6	3,239.2
Interest Expense	(61.5)	(54.8)	(44.1)	(30.6)	(3.0)	(3.7)	(3.3)	(3.3)	(13.3)	-	(4.5)	(3.8)	(3.4)	(11.8)	(3.9)	(4.8)	(4.0)	(3.6)	(16.3)	(14.9)	(15.4)	(16.0)	(16.7)	(17.2)	(17.7)	(18.1)	(18.4)
Other	4.9	(164.8)	(22.8)	(86.1)	(17.6)	13.2	(9.8)	6.5	(7.7)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Pre-Tax Income	2,730.3	4,232.4	4,479.8	2,485.5	730.4	1,283.0	1,298.8	1,331.0	4,643.2	1,252.9	1,403.4	1,416.6	1,412.5	5,486.4	1,409.1	1,510.6	1,674.8	1,640.4	6,144.0	6,908.4	7,765.6	8,706.7	9,471.0	10,269.8	11,242.2	12,210.0	13,150.6
Income Tax	388.3	910.4	760.2	784.1	84.1	250.1	215.9	139.9	690.0	221.5	248.1	250.4	261.3	981.4	252.1	271.9	281.7	293.5	1,099.2	1,312.6	1,553.2	1,826.4	1,988.9	2,156.7	2,360.9	2,564.1	2,761.6
Tax Rate (%)	14%	22%	17%	21%	3%	19%	17%	11%	14%	18%	18%	18%	19%	17%	18%	18%	18%	18%	17%	18%	20%	21%	21%	21%	21%	21%	21%
Net Income	2,342.1	3,322.0	3,619.6	1,701.4	646.3	1,032.9	1,082.9	1,191.1	3,953.2	1,031.4	1,155.3	1,166.2	1,151.2	4,505.0	1,157.0	1,238.7	1,393.1	1,346.9	5,044.8	5,595.8	6,212.4	6,878.3	7,482.1	8,113.2	8,881.3	9,645.9	10,389.0
EPS (basic)	9.09	12.97	14.05	2.08	2.52	4.02	4.24	4.69	15.46	4.06	4.55	4.59	4.54	17.74	4.56	4.92	5.09	5.31	19.88	22.05	24.48	27.10	29.48	31.97	34.99	38.01	40.93
EPS (diluted)	9.01	12.82	13.89	2.05	2.49	3.99	4.20	4.65	15.32	4.02	4.51	4.56	4.50	17.59	4.52	4.87	5.05	5.28	19.71	21.88	24.27	26.87	29.23	31.89	34.85	37.88	40.58
Non-GAAP EPS	13.00	14.88	15.29	8.45	4.86	4.52	4.89	5.03	18.48	4.47	4.94	5.01	5.01	18.40	4.89	5.39	5.58	5.81	21.77	24.45	27.27	30.27	33.17	36.86	39.86	42.14	45.37
Weighted Avg Shares Outstanding (Basic)	257.7	256.1	257.7	257.9	256.8	256.7	256.6	253.9	255.7	254.1	253.8	253.8	253.8	253.9	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8	253.8
Weighted Avg Shares Outstanding (Diluted)	259.9	259.1	260.5	257.9	259.5	258.9	257.6	256.1	258.0	256.3	256.0	256.0	256.0	256.1	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0	256.0

Source: Company Reports; Truist Securities Estimates

Exhibit 5 - VRTX Balance Sheet

Balance Sheet (\$ in millions)	2021A	2022A	2023A	2024A	2025A	2026E
Current Assets						
Cash & Equivalents	6,795.0	10,504.0	10,369.1	4,569.6	5,084.8	8,527.9
Marketable Securities (current)	729.9	274.5	849.2	1,546.3	1,523.3	1,703.9
Accounts Receivable	1,136.8	1,442.2	1,563.4	1,609.4	2,052.8	2,359.2
Inventory	353.1	460.6	738.8	1,205.4	1,686.8	2,104.3
Prepaid Expenses	545.8	553.5	623.7	665.7	853.3	917.5
Other	-	-	-	-	-	-
Total Current Assets	9,560.6	13,234.8	14,144.2	9,596.4	11,201.0	15,612.7
PP&E	1,094.1	1,108.4	1,159.3	1,227.8	1,520.3	1,757.8
Goodwill	1,002.2	1,088.0	1,088.0	1,088.0	1,088.0	1,088.0
Other Intangible assets	400.0	603.6	839.9	825.9	424.2	418.5
Deferred tax assets	934.5	1,246.9	1,812.1	2,331.1	2,897.9	2,947.8
Right of Use Assets, operating leases	330.3	347.4	293.6	1,356.8	1,562.7	1,685.1
Marketable Securities (non-current)	-	112.2	2,497.8	5,107.9	5,712.3	6,238.4
Other assets (non-current)	110.8	409.6	895.3	999.3	1,236.6	1,256.4
Total Assets	13,432.5	18,150.9	22,730.2	22,533.2	25,643.0	31,004.7
Current Liabilities						
Accounts Payable	195.0	303.9	364.9	413.0	461.7	524.3
Accrued Expenses	1,678.6	2,126.7	2,655.3	2,788.6	2,971.2	3,276.6
Other liabilities (current)	268.4	311.5	527.2	363.0	428.3	407.1
Total Current Liabilities	2,142.0	2,742.1	3,547.4	3,564.6	3,861.2	4,208.0
Operating Lease Liabilities (Non-current)	377.4	379.5	348.6	1,544.4	1,846.5	1,986.5
Finance lease liabilities	509.8	430.8	376.1	-	-	-
Contingent Consideration	-	-	-	-	-	-
Other Long Term	303.3	685.8	877.7	1,014.6	1,269.5	1,441.7
Total Liabilities	3,332.5	4,238.2	5,149.8	6,123.6	6,977.2	7,636.2
Preferred Stock	-	-	-	-	-	-
Common Stock	2.5	2.6	2.6	2.6	2.5	2.5
Additional Paid-in Capital	6,880.8	7,386.5	7,449.7	6,672.4	5,119.2	5,277.1
Retained Earnings	3,200.8	6,522.8	10,142.4	9,606.8	13,560.0	18,064.0
Accumulated other comprehensive loss	15.9	0.8	(14.3)	127.8	(15.9)	24.8
Total Shareholder's Equity	10,100.0	13,912.7	17,580.4	16,409.6	18,665.8	23,368.4
Total Liabilities & Shareholder's Equity	13,432.5	18,150.9	22,730.2	22,533.2	25,643.0	31,004.7

Source: Company Reports; Truist Securities Estimates

Exhibit 6 - VRTX Cash Flow

Cash Flows from Operations (\$MM)	2021A	2022A	2023A	2024A	2025A	2026E
Net Income (Loss)	2342.1	3322.0	3619.6	-535.6	3953.2	4504.0
Adjustments						
Stock Based Compensation	441.4	491.3	581.2	698.5	685.9	700.3
Depreciation and amortization	125.6	148.3	181.3	207.2	209.8	259.8
Intangible asset impairment charge	-	-	-	-	379.0	
Deferred income taxes	-154.6	-275.9	-536.5	-348.8	-510.8	
Other non-cash items	-5.8	103.4	-42.6	0.9	113.4	
Change in Working Capital	-105.2	340.8	-265.7	-514.8	-1199.1	-247.8
Accounts Receivable	-274.7	-358.6	-84.1	-99.3	-347.3	-306.4
Inventories	-92.8	-136.4	-322.9	-517.3	-524.2	-417.5
Prepaid Expenses & other assets	-91.8	-326.4	-545.7	-200.3	-396.0	-64.2
Accounts Payable	31.9	120.8	48.7	49.5	36.8	62.6
Accrued Expenses	305.4	542.5	429.4	212.9	-116.9	305.4
Other non-current liabilities	16.8	498.9	208.9	39.7	148.5	172.2
Net Cash Used in Operating Activities	2643.5	4129.9	3537.3	-492.6	3631.4	5254.9
Cash Flows from Investing Activities						
Change in Marketable Securities	-28.9	227.3	-2947.4	-2972.6	-499.1	-706.6
Purchases of debt securities	-528.2	-692.7	-3786.5	-7438.2	-6396.5	
Sale/ Maturity to debt securities	499.3	920.0	839.1	4465.6	5897.4	
Capital Expenditures (P&E)	-235.0	-204.7	-200.4	-297.7	-437.6	-486.7
Proceeds from Equity Securities	-	-	95.1	-	16.0	
Net payments for finite-lived intangible	-	-	-58.0	-187.7	-	
Acquisition of debt securities from Alpine	-	-	-	-258.0	-	
Payment to acquire Business, net of cash	-	-295.9	-	-	-	
Other Investing Activities	-77.0	-47.8	-31.0	-54.0	-24.7	
Net Cash Used in Investing Activities	-340.9	-321.1	-3141.7	-3770.0	-945.4	-1223.7
Cash Flow from Financing Activities						
Issuance of stock (benefit plan)	102.0	186.3	134.6	114.6	127.7	
Common Stock Offering (net)	-1425.4	-	-427.6	-1177.1	-2017.4	
Payments for stock benefit (tax obligation)	-135.9	-172.0	-226.1	-405.0	-369.9	
Finance leases	-47.0	-85.5	-44.9	-33.6	-5.4	
Other finance activities	28.3	3.5	1.8	6.2	3.7	
Net Cash Provided from Financing Activities	-1478.0	-67.7	-562.2	-1494.9	-2261.3	-538.8
Foreign Currency Effects	-13.4	-29.2	26.9	-42.6	90.9	-40.3
Net Increase (decrease) in Cash & Equivalents	811.2	3711.9	-139.7	-5800.1	515.6	3452.1
Cash & Equivalents, Beginning of Period	5988.9	6800.1	10512.0	10372.3	4572.2	5087.8
Cash & Equivalents, End of Period	6800.1	10512.0	10372.3	4572.2	5087.8	8539.9

Source: Company Reports; Truist Securities Estimates

Exhibit 7 - VRTX DCF

DCF (\$MM)	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Revenue	\$11,020.1	\$12,001.3	\$13,106.6	\$14,232.2	\$15,638.9	\$17,084.7	\$18,625.9	\$19,836.3	\$21,041.0	\$22,048.2	\$22,918.7	\$23,609.9
Y/Y Growth %		9%	9%	9%	10%	9%	9%	6%	6%	5%	4%	3%
EBIT	(\$232.9)	\$4,173.3	\$4,935.5	\$5,381.8	\$6,041.3	\$6,648.1	\$7,312.2	\$7,769.5	\$8,234.0	\$8,843.8	\$9,416.5	\$9,929.9
Y/Y Growth %		-1892%	18%	9%	12%	10%	10%	6%	6%	7%	6%	5%
Tax rate	316%	15%	18%	18%	19%	20%	21%	21%	21%	21%	21%	21%
Less: Taxes	\$734.9	(\$620.2)	(\$883.0)	(\$962.8)	(\$1,147.8)	(\$1,329.6)	(\$1,535.6)	(\$1,631.6)	(\$1,729.1)	(\$1,857.2)	(\$1,977.5)	(\$2,085.3)
EBIAT	\$502.0	\$3,553.1	\$4,052.5	\$4,418.9	\$4,893.4	\$5,318.5	\$5,776.6	\$6,137.9	\$6,504.9	\$6,986.6	\$7,439.1	\$7,844.6
Plus: Stock-based compensation	\$698.5	\$685.9	\$700.3	\$802.0	\$863.3	\$933.3	\$1,006.7	\$1,072.2	\$1,137.3	\$1,166.3	\$1,186.0	\$1,194.7
Plus: Depreciation & amortization	\$207.2	\$209.8	\$259.8	\$300.4	\$329.3	\$310.0	\$335.3	\$357.6	\$378.4	\$397.4	\$413.8	\$427.4
Less: Capital expenditures	(\$297.7)	(\$437.6)	(\$486.7)	(\$469.7)	(\$469.2)	(\$478.4)	(\$484.3)	(\$495.9)	(\$505.0)	(\$507.1)	(\$504.2)	(\$495.8)
Less: Changes in working capital	\$514.8	\$1,199.1	\$247.8	\$260.2	\$265.4	\$270.7	\$276.1	\$281.6	\$287.3	\$293.0	\$298.9	\$304.8
Unlevered free cash flow	\$1,624.8	\$5,210	\$4,774	\$5,312	\$5,882	\$6,354	\$6,910	\$7,353	\$7,803	\$8,336	\$8,834	\$9,276

	A	+	B	=	C
	Discounted Cash Flows		DTV at a perpetual growth of		Enterprise Value
Discount rate			1% 2% 3%		1% 2% 3%
6.0%	\$51,616		\$107,197 \$135,323 \$182,199		\$158,813 \$186,939 \$233,816
7.0%	\$49,175		\$81,643 \$98,942 \$124,890		\$130,818 \$148,117 \$174,065
8.0%	\$46,903		\$64,011 \$75,419 \$91,391		\$110,915 \$122,323 \$138,294
9.0%	\$44,787		\$51,275 \$59,180 \$69,721		\$96,062 \$103,967 \$114,507
10.0%	\$42,813		\$41,758 \$47,443 \$54,753		\$84,571 \$90,256 \$97,566
-	D	=	E		F
	Net Debt		Equity Value		Price per Share
Discount rate			1% 2% 3%		1% 2% 3%
6.0%	(\$16,470)		\$175,283 \$203,409 \$250,286		\$685 \$795 \$978
7.0%	(\$16,470)		\$147,289 \$164,587 \$190,535		\$575 \$643 \$744
8.0%	(\$16,470)		\$127,385 \$138,793 \$154,764		\$498 \$542 \$605
9.0%	(\$16,470)		\$112,532 \$120,437 \$130,978		\$440 \$470 \$512
10.0%	(\$16,470)		\$101,042 \$106,726 \$114,036		\$395 \$417 \$445

Assumptions:	
Fully diluted shares	256.0
Debt	\$0
Cash (YE)	\$16,470

Source: Company Reports; Truist Securities Estimates

Company Description

Vertex Pharmaceuticals Incorporated (VRTX) is a global biotechnology company that invests in scientific innovation to create transformative medicines for people with serious diseases and conditions. The company has approved therapies for cystic fibrosis, sickle cell disease, transfusion-dependent beta thalassemia and acute pain, and it continues to advance clinical and research programs in these areas. Vertex also has a robust clinical pipeline of investigational therapies across a range of modalities in other serious diseases where it has deep insight into causal human biology, including IgA nephropathy, neuropathic pain, APOL1-mediated kidney disease, primary membranous nephropathy, autosomal dominant polycystic kidney disease, type 1 diabetes, generalized myasthenia gravis, and myotonic dystrophy type 1. Vertex was founded in 1989 and has its global headquarters in Boston, with international headquarters in London

Investment Thesis

We rate VRTX shares Buy as we see solid support from the base CF commercial franchise over the foreseeable future and project >\$15B in revenues for the CF portfolio at peak. Over the next 6-18 months, we see approval/ strong early launch of povetacicept in IgAN and positive Phase 3 data from inaxaplin in AMKD as key drivers for the stock, and note additional upside optionality for diabetes and chronic pain, which are not currently reflected in our projections.

Valuation and Risks

We use a ten-year DCF to arrive at our \$542 price target. We use an 8% discount rate, which is our standard for lower-risk cash-flow positive, large-cap biopharmaceutical companies. We use a 2% terminal value as we believe the company will use capital to continue to generate revenue.

Risks to our rating and price target include: Competition/ negative impacts to the Cystic Fibrosis (CF) base business, clinical trial failure of pipeline products and weaker adoption of new product launches than we anticipate.

Companies Mentioned in This Note

Maze Therapeutics, Inc. (MAZE, \$26.35, Buy, Danielle Brill)
Vertex Pharmaceuticals Incorporated (VRTX, \$435.93, Buy, Danielle Brill)
 Sionna Therapeutics (SION, Not Rated)
 Otsuka Holdings (OTSKF, Not Rated)
 CRISPR Therapeutics (CRSP, Not Rated)

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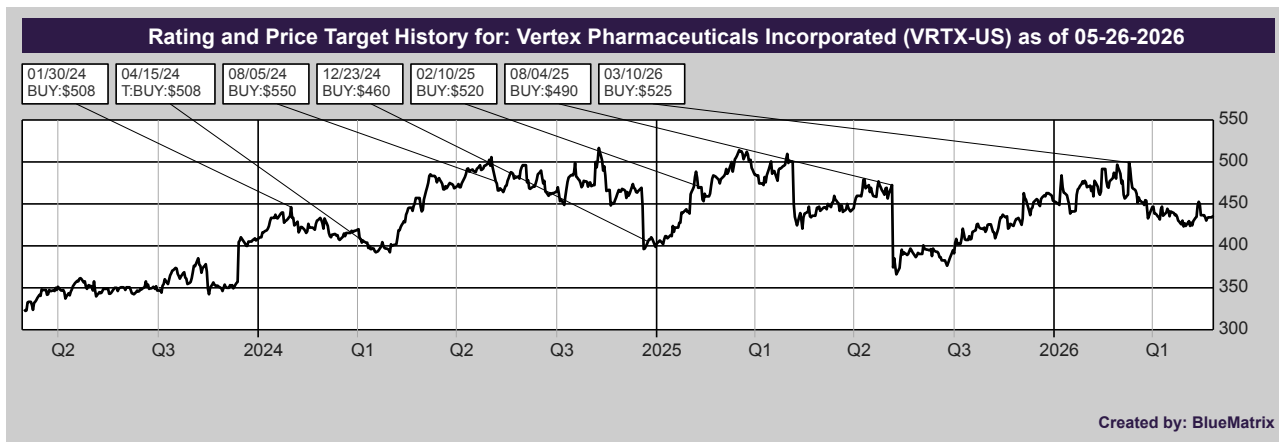
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